EXPERT4X

The MAGICAL Moving Average Forex Trading Technique

This eBook shows how a simple moving average can be used as a efficient tool to making money in the Forex Market

THE MAGICAL MOVING AVERAGE TRADE

Table of Contents

1 INTRODUCTION 3
2. THE MAIN OBJECT OF FOREX TRADING 5
3 WHAT IS THE DEFINITION OF A TREND? 6
4 SIMPLE MOVING AVERAGE 8
5 TRADING INFORMATION WE GET FROM THE MOVING AVERAGE 11
6 THE BASIC SETUP AND TRANSACTION 16
6.1 ENTERING THE DEAL 16
6.2 STAYING IN THE DEAL 17
6.3 EXITS 18
7 ADDING CERTAINTY TO THE MOVING AVERAGE CROSSOVER DEALS 20
7.1 Reversal candle formations: 20
7.2 Reversal price formations: 22
7.3 Strong support or resistance breakout failures: 22
7.4 Wave Counts 23
7.5 RSI trendline violations 24
7.6 Price trendline violations. 24
7.7 Time of day considerations: 25
8 FINDING GOOD TIME FRAMES TO TRADE 26
9 PUTTING IT ALL TOGETHER 30
10 SUCCESSFUL SETUPS 31
11 WEAKNESSES OF THE MAGIC MOVING AVERAGE TECHNIQUE 33
12 CLOSING REMARKS 34
13 WHERE TO FROM HERE 35

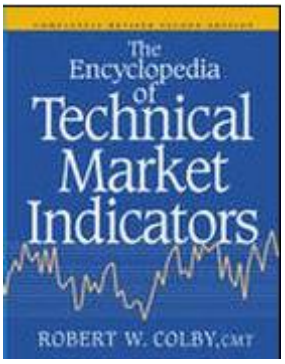
1 INTRODUCTION

Thank you for purchasing this eBook or any other product of Expert4x which has qualified you to receive this Ebook. We hope that you can incorporate this simple trading technique into your Forex trading successfully. It is so simple that a total beginner can start trading the Forex market immediately using it and so effective that even experienced Forex traders can benefit from the concepts used.

- This ebook contains some basic and intermediate concepts best suited to Forex traders that have completed an overall introduction to Forex trading and have reached a reasonable level of comfort using ***broker accounts*** and ***Forex charts***. Should you not be at this level yet please use the following free 21 video Forex trading introduction course:-

  http://www.forextrading-videos.com/ForexBeginnerVideos.html

- In his book ***"The Encyclopaedia of Technical Market Indicators"*** Robert Colby analysed 127 of the best and most popular Technical indicators using almost 100 years of stock market information. He compared his results to a Buy and Hold strategy. In other words, the increased value of the investment if held for +/- 100 years was determined. This value was compared to the value if you had used technical indicators to buy and sell during that particular period. Some indicators gave negative returns and other positive returns.

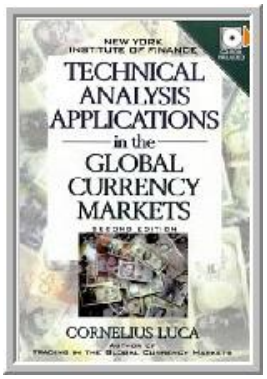


Strangely enough the final results showed some shocking results.

1. **Moving averages** filled the top 2 spots in the list of 127 indicators tested. (+$77Mil and +$51Mil)
2. The next best indicator was +$12Mil – a considerable amount less than the top 2

Moving averages were one of the very first and also one of the simplest indicators ever used by technical analysts. The moral of this analysis is that sometimes the simple indicators do the bests jobs when using technical analysis.

- In his great Forex trading book ***"Technical Analysis Applications in the Global Currency Markets"*** Cornelius Luca comes to the following conclusion in the last chapter of the book:



"The most significant technical tools are the most basic ones. Major trends and their formations are all that a trader really needs. Once you have identified them, do not question them and do not hesitate. Just go ahead and trade. The more refined methods are generally of marginal significance."

- This eBook is about simple formations and simple indicators which provide very high probability trades. If you are reasonably experienced you are not going to see anything you have not seen before. It is however the combination of simple indicators and formations that create very **powerful trade setups** that if used appropriately can give high success trades with exceptional returns of risk.

- In this book we use MetaTrader charts to illustrate examples. The setting and indicators used in this book should be accessible in most charting software packages. You can easily download the MetaTrader charting package by searching for MetaTrader on a search engine such as Google and then opening a demo account with any MetaTrader Broker listed.

- It is likely that you are reading a recently published version of this book. It would be greatly appreciated if after reading the entire book, watching the recommended videos, reviewing the additional courses in the ebook, if you could give feedback on areas that you think need more clarification or improvement. We will regularly update this book as result of input received.

2. THE MAIN OBJECT OF FOREX TRADING

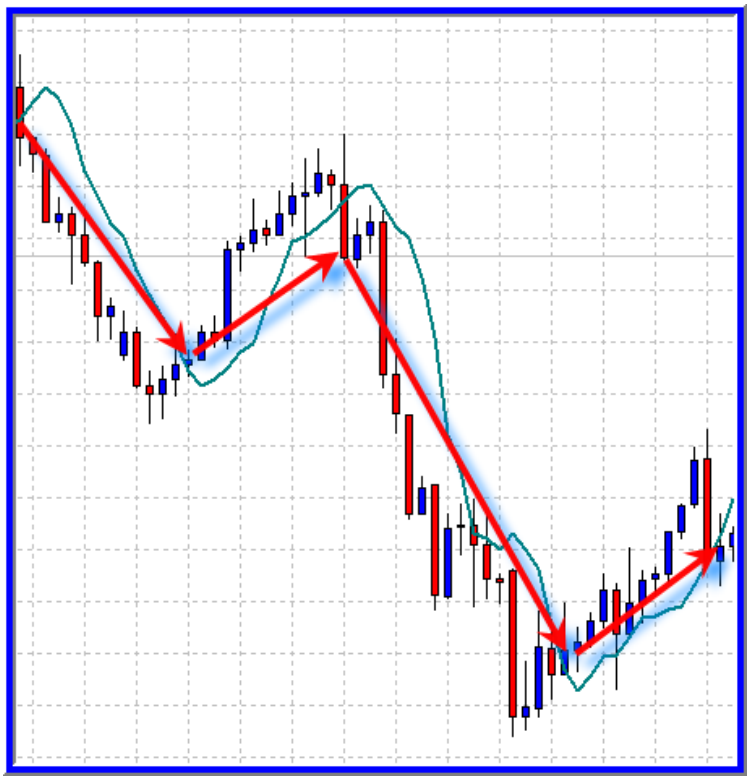
We need make money from Forex trading by:-

1. **Identifying a trend**.
2. **Entering** as close as possible to its start.
3. **Staying in** the trend as long as we can.
4. **Exiting it** when the trend has exhausted or starts reversing.

Not an easy task and a lot to get right.

Some really simple indicators can go a long way towards answering all 4 of the above questions.

Identifying a trend, entering a trend, staying in the trend and exiting the trend



The GBPUSD is a 280, 130, 450 and 120 pip trend on a 4 hour chart during Sept 09

3 WHAT IS THE DEFINITION OF A TREND?

One of the biggest problems that traders have is how to identify what a trend is while they are trading. That is because of the simple and obvious fact that a trend can only be clearly identified **AFTER** it has happened. A sad fact that traders very seldom accept.

So if trends can only be identified after they have happened, we "with the trend" traders are in trouble aren't we? By the way all traders are **"with the trend" traders**. You need a trend to register a gain on any transaction – even if it is few pips on a 1 minute chart.

So rather than giving up we need to be clever and look at what happens just **before a trend starts** and what happens **during an ongoing trend** and what happens at the **end of a trend**. Starting to sound complicated isn't it? Don't under estimate the difficulty of trading the Forex market without a very clear plan or strategy to succeed.

So let's start with the simple indicators to see if we can gather more encouragement to do successful trades.

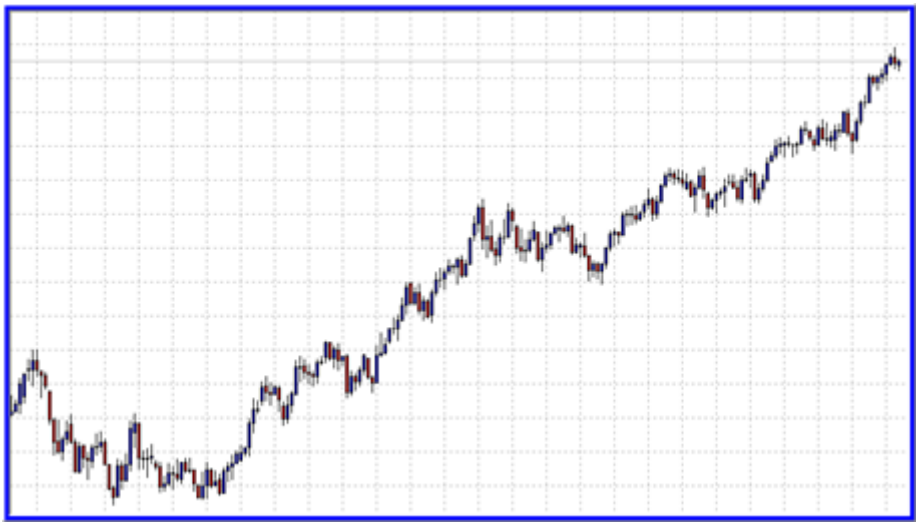
We will start with the simple moving average.

You will see that the moving average answers our 4 basic trading questions:

1. **Identifying a trend**
2. **Entering** as close as possible to the start of the trend
3. **Staying in** the trend
4. **Exiting it** when the trend is becoming exhausted or starts reversing.

There is an expression in Forex trading that says: "Let the trend be your Friend until it bends".

The AUD after a 3000 pip trend and still going. Knowing when a trend starts and is finished is not always easy – is this trend over? Finding a trend after it has been in place is easy looking back. How would you have known there was a trend starting? Where would you have entered? How would have stayed in the deal for 3000 pips? Where would you exit?



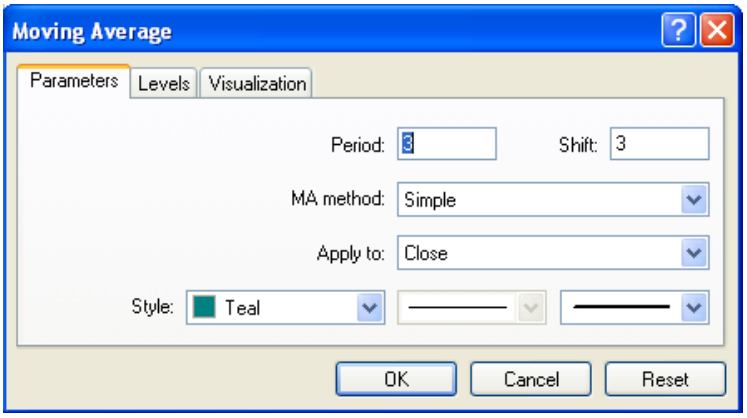
4 SIMPLE MOVING AVERAGE

A moving average simply smoothes the path of the price by taking an average of the information of the last number of candles and shows this line on the chart. For a more detailed discussion on the calculations of the moving average please click here> Simple moving averages

Those of you who have completed Barry Thornton's "With ALL the Odds" course will know that the moving average he likes using is the 3 period simple moving average displaced by 3 periods. This means it is an ordinary moving average moved forward by 3 periods. It is set on the closing price. These are personal settings based on personal experience and are not trading laws. Please feel free to try for instance settings of 2 advance by 2, or 4 advance by 4 if you like to see if they suit you better (give you better trading signals).

These settings have been determined by Barry over the years to give the most amount of information to him during forex trading sessions or position trading trades. The principles we will be discussing are universal to all charts from the 1 minute chart to the monthly charts.

Moving average settings



The GBP 4 Hour chart: a 200pip and 480 pip trend

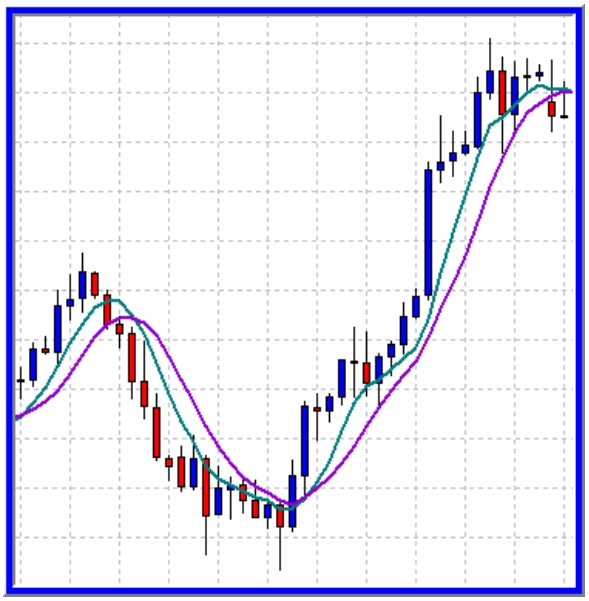
See how the Moving Average acts as support and resistance and shows a clear cutover

The same chart without the 3 period shift - there is not that much information one can get from the MA without the shift

The GBP 4 Hour chart: a 200 pip and 480 pip trend

Some moving average systems use a 2 moving average crossover approach. The 5 and 8 simple Moving Average with no shift is shown below.

You can see how much simpler, quicker and clearer the signals are using the 3 shifted by 3 setting above.



5 TRADING INFORMATION WE GET FROM THE MOVING AVERAGE

So what information do we get from this moving average that adds value to our trading (Listed in no particular order).

1. Firstly the **position of the price relative to the moving average** gives you a good indication as to which mode the price is in – very simply if the price is above the moving average it is in the buy zone and below the moving average it is in a sell zone.

2. Secondly, the **angle of the moving average** determines the latest trend of the price. If the angle is up, it is in a buy direction and if the angle is down, it is in a sell direction

3. The amount of **time (the number of periods) the price spends below or above the moving average** helps us determine the strength of the trend.

4. The **distance of the price from the moving average** determines the strength of the latest market move as result of a change in trend.

5. The moving average helps us determine a type of **non horizontal support or resistance** barrier that the price movement is creating.

6. By displacing the moving average (which is based on the last 3 historical candles) 3 periods forward we are using history to predict the likely future position of the price in 3 periods time. It is this deviation from this prediction that provides trading opportunities (we will see this later on). This turns the Moving Average into a **leading indicator.**

7. The **direction that the price is moving in relation to the moving average direction** (parallel or at right angles) is additional information – if the price is moving towards the moving average it signals a possible trend reversal and if it is moving away from the moving average it is signalling a strong trend.

8. When the moving average is **moving through the current candles** it likely that there is no trend and the market is trading sideways.

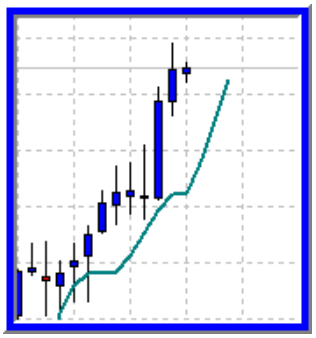
As you can see this simple indicator is giving some valuable information on what market behaviour that happen **just before a trend starts** and the type of price behaviour **during an ongoing trend** and the price behaviour **at the end of a trend**. There is even info on when there is **no trend**.

Quite a lot of information from a simple indicator! So let look at the above points in more detail.

1. Firstly the **position** of the price relative to the moving average gives you a good indication in which **mode or in which Zone the price finds itself** – very simply, if the price is above the moving average it is in the **BUY zone** and below the moving average it is in a **SELL zone**.

   This is because when using moving averages you are using the moving average as your personal support and resistance barrier for the price.

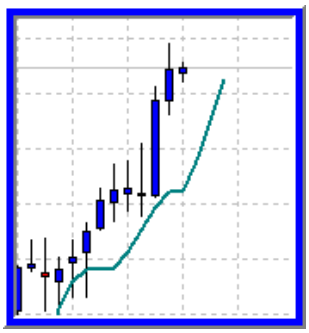
The price is in a SELL mode or in the SELL Zone because it is below the moving average



The price is in a BUY mode or BUY Zone as it is above the moving average

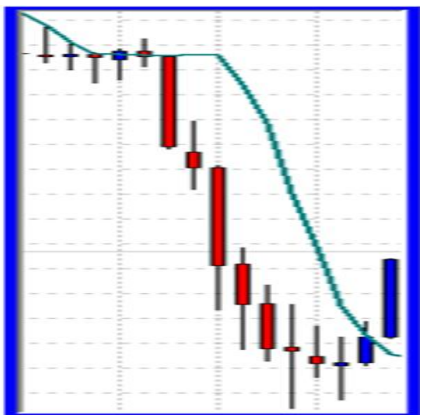
2. Secondly, the angle **of the moving average determines the latest trend of the price**. If the angle is up it is in a buy direction and if the angle is down it is in a sell direction.

The Angle of the moving average is down so the price currently in a SELL trend



The Angle of the moving average is UP so the price currently in a BUY trend

3. The amount of time (the number of periods) the price spends below or above the moving average helps us determine the strength of the trend.



The price stayed below the moving average for **9 months** in this monthly chart of the GBPUSD

The price stayed above the moving average for **3 hours** in this 15 min chart of the EURUSD

4. The distance of the price from the moving average determines the strength of the latest market moves as result of a change in trend.

This is a weaker trend as the price is hugging the Moving Average and can easily crossover into the other side of the Moving average

This is a stronger trend as the distance (More white space) between the price and the Moving Average is larger.

5. The moving average helps us determine a type of dynamic, **non horizontal support or resistance barrier** that the price movement is creating.

Just like trendlines determine support and resistance areas, the 3 period and 3 offset moving average creates a dynamic support and resistance barrier

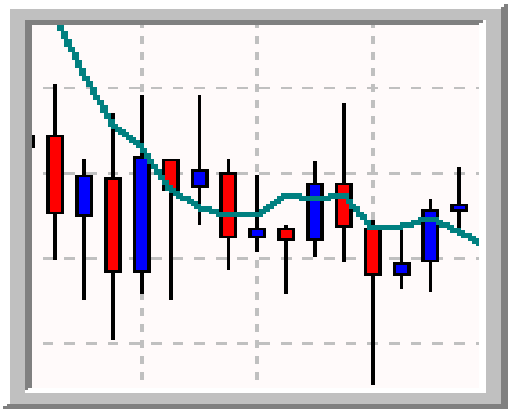
6. By displacing the moving average (which is based on the last 3 historical candles) 3 periods forward we are using history to predict the likely future position of the price in 3 periods. This turns a lagging indicator (ordinary moving averages are lagging indicators) into a **leading indicator** as it indicating a possible future position of the Price.

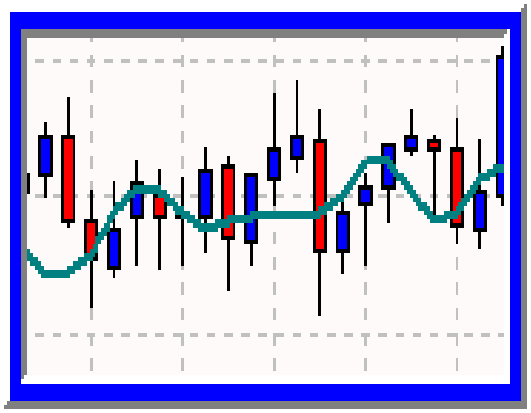
The difference between where we anticipate the price to be and where it is, makes the start or the change of a trend easier to see

7. The direction the price is moving in relation to the moving average is additional information. – if the price is moving towards the moving average it signals a possible trend reversal, and if it is moving away from (or parallel) the moving average it is signalling a strong trend.

The Red arrows show the candles that are trading in the same direction of the Moving Average (Parallel to the MA) and show a good trend .The Blue arrows show candles that are trading towards (right angles) the direction of the moving average and this signals a trend reversal.

8. When the moving average is moving through the current candles it is likely that there is no trend and the market is trading sideways. This is a time to refrain from trading and to be very strict about applying the signals that add more certainty to the deal – see future sections.

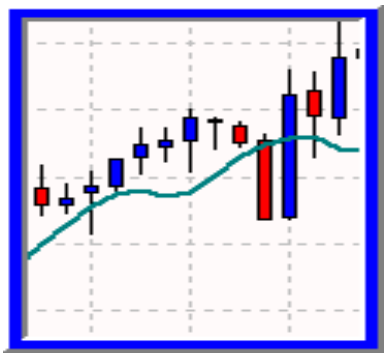




6 THE BASIC SETUP AND TRANSACTION

So the above seems to indicate that when the price moves over the moving average from the bottom you would simply enter a buy transaction (or if it moves over the moving average from the top you would simply enter a sell transaction). You would simply stay in the transaction as long as the price stays in the zone and direction your deal is in and then exit when the price moves over the moving average into the opposite side of the moving average as shown below.

This is partially true but if you follow this blindly you will find that you will encounter whipsaws (Transactions changing direction often causing losses) or loss making transactions. In the next section we will look at ways of filtering out most of these whipsaws. This is one of the weaknesses of using the moving average crossover technique.



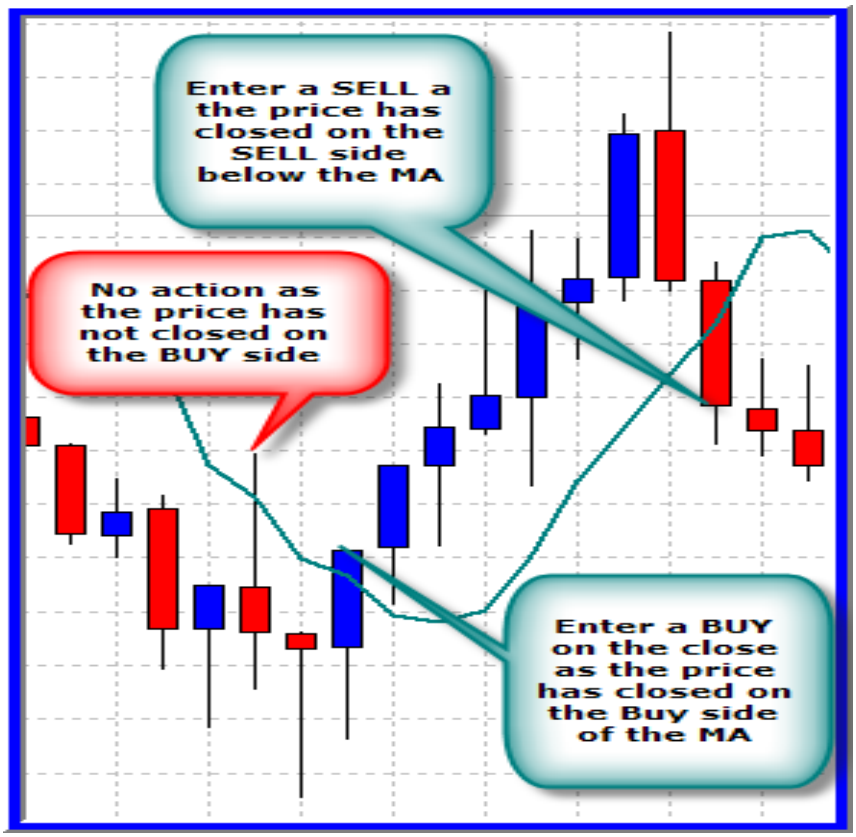
Example of a whipsaw (False crossover)

Example of another whipsaw (False crossover)

So ignoring the entry whipsaw danger for the moment lets look at how to enter, stay in a deal and exit a deal. We will also discuss possible places to put your stoploss orders in the case of whipsaw transactions.

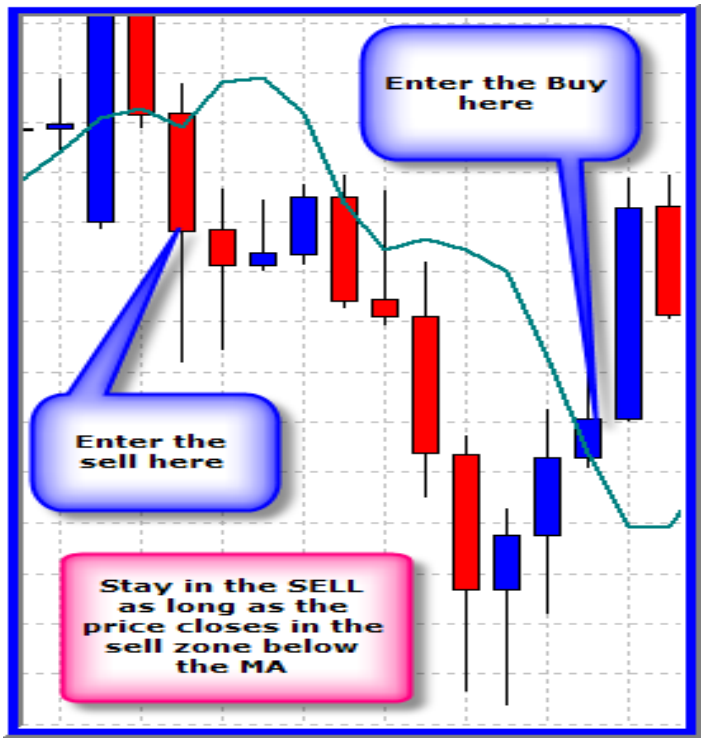
6.1 ENTERING THE DEAL

The best way of entering a transaction when using the Moving Average crossover system is to enter on the close of the candle that crosses over the moving average. This ensures that the price has crossed over the moving average and that a new candle will start in the direction of your trade.



6.2 STAYING IN THE DEAL

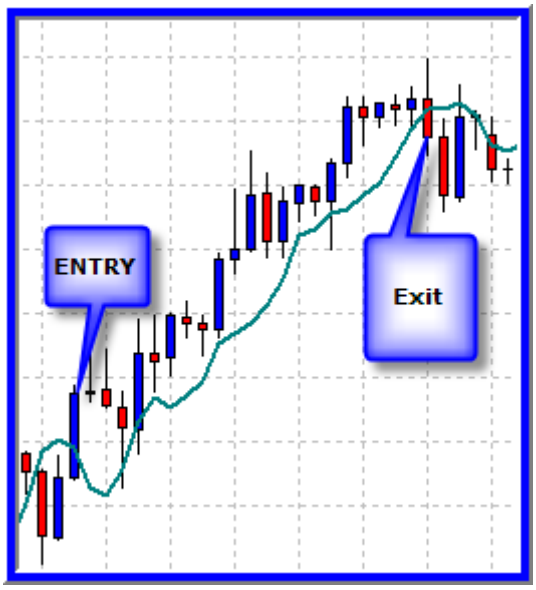
As long as the price candle closes in a favourable zone in relation to the moving average, you should stay in the deal.



6.3 EXITS

When using the Moving Average crossover system you would exit in 3 ways:-

1. <u>The price would move over the moving average and close in the zone opposite to your entry.</u>



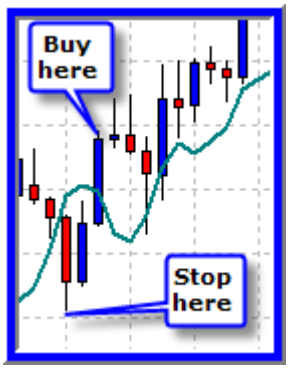
2. **<u>You would manually exit</u>**

   Manual exits could be for many reasons such as the price has reached major support or resistance, a reasonable profit has been registered and you don't want to give anything back, week end market close, etc

3. The price would hit your stop

Books can be written about where to put your stops.

In general **when entering** a deal you should place your stop at the previous "swing high or swing low". That basically means that your stop should be placed at the last turning point where the price was rejected (pushed back by the market) in the case of an upward trend or a downward trend reversal (the previous trends reversal point).



Once the deal is active the normal rules of staying in the deal apply. You would only exit on a close on the opposite side of the MA to the one you are trading. If you are in a sell you would exit on a close of the price above the MA or if you were in a Buy you would exit on the close of the price below the moving average. This is a VERY SIMPLE approach that works. As your trading experience increases you will find refinements to this rule.

7 ADDING CERTAINTY TO THE MOVING AVERAGE CROSSOVER DEALS

So our next challenge is to try to avoid the possibility of whipsaws. We need to determine the conditions where whipsaws are less likely to happen and trends are likely to occur.

There are a number of clues that determine if the price movement will be strong when it breaks through the moving average and start a new trend.

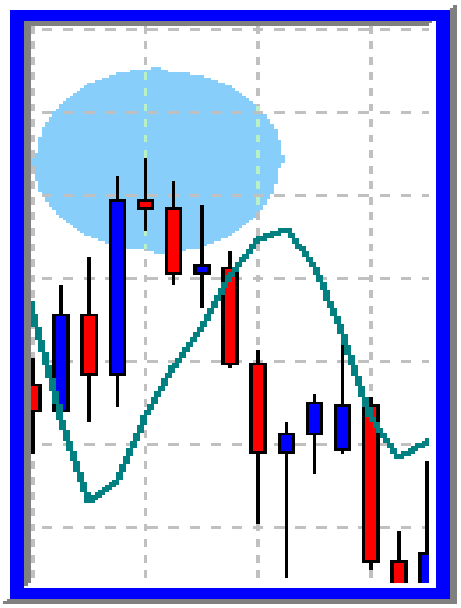
These are:-

1. Reversal price formations
2. Reversal candle formations
3. Strong support or resistance breakout failures
4. Wave counts
5. RSI trendline violations
6. Price trendline violations.
7. Time of the day factors.

Let's look at these one by one

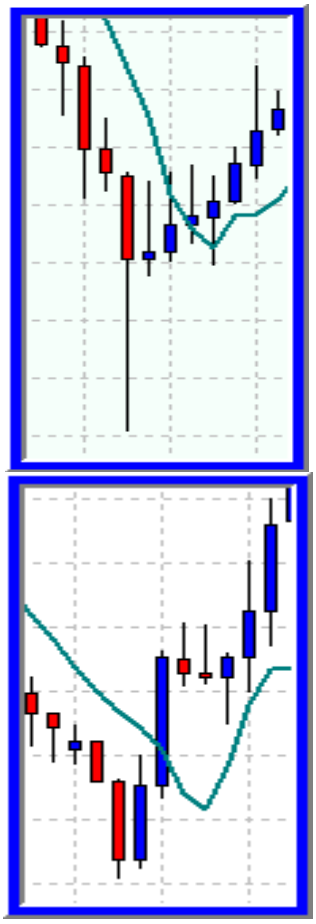
7.1 Reversal candle formations:

This particular reversal candle formation is quite a strong one. The setup candle (the blue one) makes a spike and retraces. The next candle makes a bigger spike and retraces past the close of the previous candle causing the candle to change colour. This gives more certainty when the price eventually crosses over the moving average.



The candle formation is an Evening star formation where there are 3 spikes. The middle one is the longest and third candle then starts reversing. This is at the end of an up trend. At the end of a down trend the formation is called a morning star and is just reversed.

These formations can be equated to the Head and shoulders reversal formation as the same price movement occurs when the head and shoulders appear.



Spikes are very good reversal signals that make moving average crossover trades less risky.

Remember that Railway track candle formations, as shown in the lower chart, are nothing more than a spike when added together so treat them as spike reversal signals too.

7.2 Reversal price formations:

A double top (or a double bottom) is a great reversal formation at the end of a trend.

This example shows how the price closed below the moving average after a double top formation adding more importance to the moving average crossover.

7.3 Strong support or resistance breakout failures:

When the price continuously tries to break through support or resistance and can't break through, it will eventually start trending the other way. More importance is given to the moving average crossover when this happens.

In this example the price tried a number of times to break through the upper resistance as evidenced by the many spikes, and when it changed direction it crossed over the moving average creating a sell opportunity.

7.4 Wave Counts

Experience has shown that good crossovers through moving average lines normally have 2 or more well formed waves. These waves are sometimes visible on the price chart as shown on the RSI indicator.

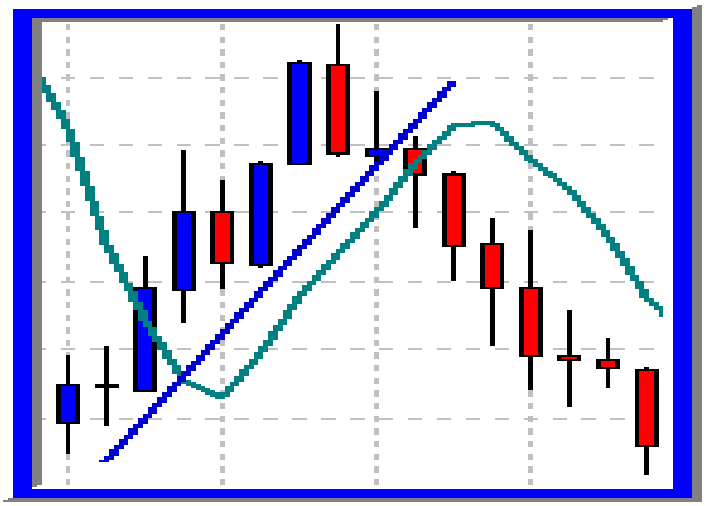
7.5 RSI trendline violations

In this example of the USDJPY 5 minute chart you can see that the RSI indicator (set at a 4 setting) not only helps us count the waves in price movements but also provides trendline violation opportunities.

When the RSI has a trendline violation which happens either before or at the same time the candle cuts through the moving average, you can regard this as a confirmation signal to trade the moving average crossover.

7.6 Price trendline violations.

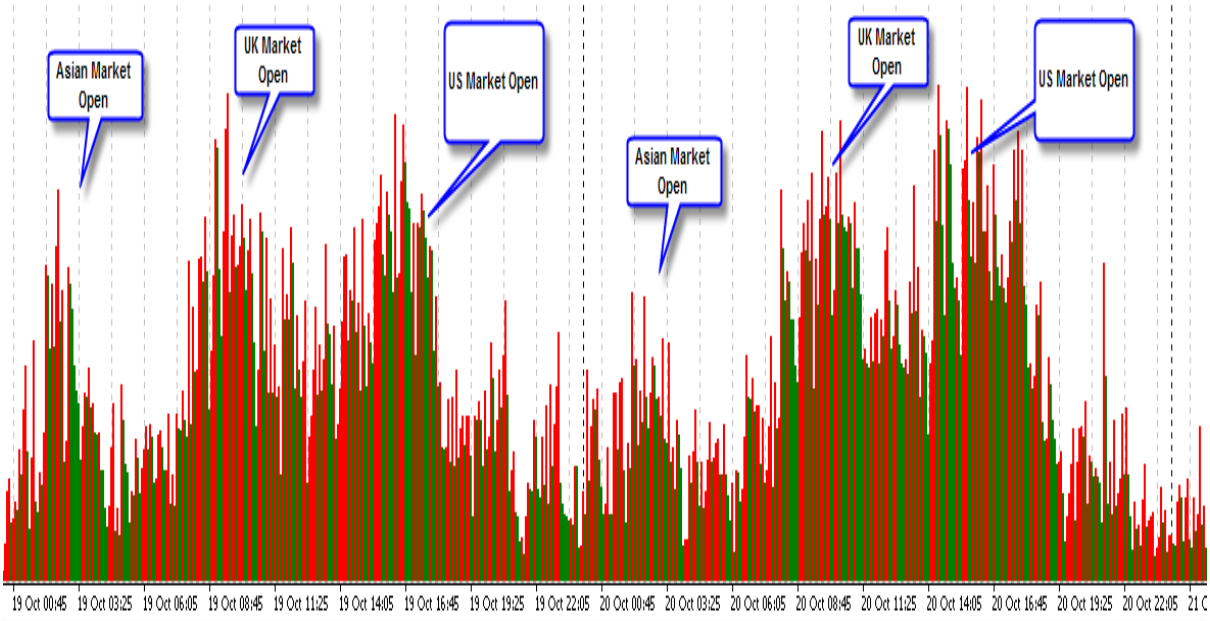
Please click on this link for more information on trendlines http://www.metaquotes.net/techanalysis/trendlines/



More importance is given to moving average crossovers if they are accompanied by a trendline violation before or just after the moving average crossover.

7.7 Time of day considerations:

The volume information shown below shows the volumes and volatility generated by the 3 major forex markets. These high volume periods are often when trends develop and the Magic Moving Average works well in trends.



8 FINDING GOOD TIME FRAMES TO TRADE

When considering which time frame to use to trade the Magic Moving Average technique, it is always a good idea to review the actual charts to see how the price relates to the indicator in terms of showing clear trends.

The way of doing this is by setting the indicator and then flipping through the time frames to see in which timeframe the indicator shows the trends the clearest.

Using this method you can also determine how you would like to trade.

For instance: Using the 5 minute timeframe would require you to re assess the trades every 5 minutes. This would apply if you are keen at doing faster scalp trading transactions which could give you 5 to 7 transactions in a 3 to 4 hour period.

The other approach would be to use the Daily charts which means that you would evaluate the trades once a day. This is less stressful and ideal if you are trading part time. This however will only give you a transaction every 7 to 12 days.

Timeframes between the two – 15min, 30 min, 60 min, 4hours may suit traders with other approaches that allow them to re-evaluate deals regularly.

The charts below have the same number of candles per chart (197) and result in the following statistics:

Chart	Time shown	Possible transactions	Average Transaction rate
5 min	16 hours 50 min	28	1 every 36 minutes
15 min	2 days 1.5 hours	23	1 every 2.1 hours
30 min	4 days 3 hours	25	1 every 4.0 hours
1 hour	8 days 6 hours	29	1 every 6.8 hours
4 hours	33 days	27	1 every 19.6 hours
Daily	197 days	21	1 every 9 days

If a transaction every 36 minutes is too slow for you, you could consider trading more currencies at the same time. It is not recommended that you use this trading technique on the 1 minute chart as there is a greater risk of whipsaws and the spread starts becoming a big % of the transaction.

Setting the indicator up as shown in section 4: Moving Average on a 5 minute chart of the GBPJPY would look like this:

5 Minutes

15 Minutes

30 Minutes

1 Hour

4 hour

Daily

The longer term charts seem to give good trending transactions and require less supervision. You should use the time scale that suits your life style, temperament, available time.

9 PUTTING IT ALL TOGETHER

From the discussion so far, every time the price crosses over the Magic Moving Average there is a trading opportunity on the close of the crossover candle.

Before we blindly enter the trade we should do the following checks:

- Are there reversal candle formations before the crossover?
- Are there reversal price patterns before the crossover?
- Is there a price chart trendline that is being violated as part of the crossover?
- Is there an RSI trendline violation?
- Has there been a strong rejection of the strong support or resistance?
- Is the market currently showing low volatility?

10 SUCCESSFUL SETUPS

The following are examples of successful entries

One of the Expert4x long term traders was trading the GBPJPY and noticed a moving average violation just before the close of the daily candle on the GBPJPY. The candles had made railway track reversal formations and the price had tested upper resistance and failed. The price had made 2 nice waves on the price chart and the RSI. The RSI had a trendline violation confirming downward momentum. The trader entered on the close of the candle, with a top above the previous candle high as a stop. The previous support or swing low was selected as a tentative target.

SETUP

The price remained below the moving average for over 1000 pips before retracing and closing above the moving average for a gain of 750 pips.

Please note that the price did cross the moving average a number of times but never closed above it. This kept the trader in the deal all the time. Quite a few pips were given back to the market at the end on the deal (+/-300) to make sure that the trend was over.

RESULT

11 WEAKNESSES OF THE MAGIC MOVING AVERAGE TECHNIQUE

It is important to also highlight some of the short comings of the Magic Moving Average system.

- The system is a trending system where the market must trend for it to make money – this applies if you are trading the 5 minute or the daily charts. A sideways market will result in many whipsaws and losses. It is therefore important to apply the checklist list mentioned more strictly when you suspect a sideways market. The market also tends to trade sideways a lot more than it trends in many timeframes. It is important to choose your time of day carefully when day trading to make sure you are trading in times when potential trends are very likely.

- The system does not automatically provide you with a determinable target. You are dependant on the price crossing over the Moving average and closing on the other side to provide you with a result. You can therefore not determine your return on risk prior to a transaction.

- You do have to watch the chart regularly for the status when the candles close, depending on which time frame you choose to trade.

One of the strengths of the system is that it does keep you in the trend when other methods would get you out of the trend much quicker. For that reason many traders use the system not as an ENTRY method but as an exit method.

12 CLOSING REMARKS

The system described gives high potential of success trades. Don't expect to be successful with every trade. Sometimes it takes awhile to master a technique until you are constantly making successful trades.

If you have any questions regarding this technique after you have attempted a number of trades please contact Mary McArthur who will be able to answer many of your questions or refer them to traders who may be able to. Use info@expert4x.com

13 WHERE TO FROM HERE

- Expert4x has a free Video site which has access to 1000's of Forex trading and Training videos. Simply go to www.forextrading-videos.com to get access to these videos. To get some other views on using moving averages search for

  Moving Averages,
  Trends,
  Support and resistance,
  Candlestick
  Price patterns
  RSI indicator
  Forex Momentum
  Forex entries
  Forex stops

  While you are searching you will come across many video courses on the above and many other topics. The more you watch these videos the more your knowledge of Forex trading will improve.

- The "With ALL the ODDs" Forex trading technique used for scalping short term trades and entries using volume as an important decision making tool – please view this link for more info > WATO
- The "Long Candle Forex Trading" ebook covers swing and position trading techniques. Please view this link for more info> LONG CANDLE
- The very best way of learning the forex market is to attend LIVE Forex trading sessions where the ASIAN, the European and US Markets are traded 4 days a week. You can ask any technical question in these webinars and they are truly learning experiences. The Long Candle, WATO and the Magical MA techniques are used during these webinars. Please view this link for more information> LIVE FOREX

Best of luck with your Forex trading.

You can never stop learning enough about TRADING and the FOREX Market